Quarterly Operations Report - Q3

Executive summary. Northwind Logistics processed 18,420 shipments during the third quarter, an increase of 12 percent compared with the previous quarter. On-time delivery reached 96.4 percent.

The expansion of the Riverside warehouse was completed in August and added 4,000 square metres of storage capacity. Average order handling time fell from 41 to 33 minutes.

Key risks for the next quarter are fuel price volatility and the planned migration of the order management system, scheduled for November.

Financial Overview

Revenue for the quarter was 2.84 million EUR against a budget of 2.70 million EUR. Operating costs were 2.31 million EUR, giving an operating margin of 18.7 percent.

Transport costs represented 46 percent of operating costs. Staff costs rose by 3 percent following the seasonal hiring programme in July.

Capital expenditure totalled 410,000 EUR, mainly for racking, two electric forklifts and warehouse scanning equipment.

Outlook and Recommendations

Volume is expected to grow a further 8 to 10 percent in Q4 due to the holiday season. Temporary staff should be contracted by mid-October.

Recommendation 1: renegotiate the fuel surcharge clause with the two largest carriers.

Recommendation 2: run the order management migration in a pilot region before full rollout.

Recommendation 3: publish a monthly service dashboard for the five largest customers.